

programmes. There was always a focus on developing the right product, but it was taking time,” says Nuwal. At that point, a few key decision makers looked at the factory and liked what they saw. “Continue to do good work,” they advised, perhaps an indication that good news was not too far away. That gave him confidence. The effort has paid off as Solar Industries embarks on the next phase of growth.

“We started work on defence in 2010-11, and till the end of 2020, it was a very small share of our revenue. Three years ago, it was about 5%; that has grown to 20% now,” says Nuwal. More importantly, all the pieces of the defence business are in place to pave the way for further growth.

SEIZING THE OPPORTUNITY

The memory of Uri and Pathankot terrorist attacks are still fresh in our minds. It was also a turning point in the company’s defence foray in terms of landing an important order. “India needed a supply base for ammunition, and it was our growth opportunity,” says Nuwal. “We were getting good feedback on our products from Europe and the US. We needed a break in India,” he says. The first was multi-mode hand grenades for which Solar worked closely with the Defence Research and Development Organisation (DRDO) for nearly three years.

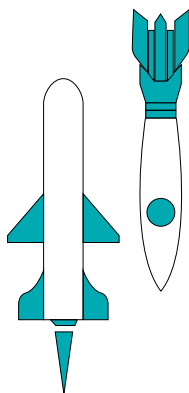
In many ways, this was the watershed moment for Solar and perhaps for the private sector defence industry as well. Prior to this, says Manish, there was always demand but the government preferred imports. “There was not a high level of confidence in the quality of output in the domestic market. As a company, the lack of clarity on policy was a challenge, and though our work was appreciated, it did not always lead to order conversion,” he says.

The good part was that the company was on a good wicket. “Our core business of explosives was generating profits and that allowed us to invest in defence.

SOLAR’S DEFENCE PORTFOLIO

- 01 Platforms, rockets and missiles, counter drone systems, loitering munitions
- 02 Subsystems Ammunition, air bombs, warheads, space applications
- 03 Components: Multi-mode hand grenade, pyros and fuses
- 04 Materials: High energy materials, propellants

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That was the comforting factor even though defence was not really delivering results,” says Nuwal. For a long time, the explosives business was hugely dependent on Coal India (over 90% revenues at one point). “It is down to 38% today. From being an India-centric player, we are more global now.” The success in defence and its growing contribution to revenues has excited those tracking the company.

“In the defence value pyramid, in India, there are hardly any companies across different verticals. Furthermore, the level of indigenisation is usually lower at the top end of the pyramid, leading to thinner margins. In the case of Solar Industries, the products are expected to cover the value chain and products/solutions are co-developed or ToT (transfer of technology) is sourced from the DRDO,” says a recent ICICI Securities report on the company. The defence business is housed in wholly-owned subsidiary Economic Explosives Ltd.

SPREADING ITS WINGS

The hunger for growth continues and not just organically. Nuwal outlines a couple of important purchases in the last two-three years—Rajasthan Explosives & Chemicals (in April 2023) and South Africa’s Problast BS (a blasting solutions company for mining that has enhanced Solar’s presence in Africa). The company’s two-decades-old presence in the international market helped it manage the South African acquisition better. “We could easily adapt to the local culture. A good understanding of the market was a great help,” says Nuwal. This strengthened the core business at a time when defence was beginning to yield results.

“Solar invested way ahead of time in defence. Today, it seems like a smart move, but the important thing is that they stayed the course through multiple challenges,” says Vinit Bolinjar, Head of Research at brokerage Ventura Securities. He points out the ability of the company to deliver high return on